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Subject: English1

Unit 7: Markets

UNIT FOCUS:

- **Reading**: Markets
- **Vocabulary**: Collocations
- **Grammar**: Simple Present Passive

"The market economy is very good at wealth creation but not perfect at all about wealth Distribution."
(Jonathan Sacks)

Reading

Read the Text.

Markets

A market is nothing more or less than the **locus 1** of exchange. It is not **necessarily 2** a place, but simply buyers and sellers coming together for transactions. Transactions occur because consumers and **suppliers 3** are able to purchase and sell at a price that is determined through the free **interaction 4** of demand and **supply 5**.

Adam Smith, in *The Wealth of Nations*, described markets as almost **mystical 6** things. He wrote that the interaction of supply and demand "as though moved by an invisible hand" would determine the price and the quantity of a good exchanged. In fact, there is nothing mystical about markets. If **competitive 7**, a market will always satisfy those consumers **willing 8** and able to **pay 9** the market price and **provide 10** suppliers with the opportunity to sell their **wares 11** at the market price. To understand the market, one need only understand the ideas of supply and demand and how they interact.

Demand

The **law 12** of demand is a principle of economics because it has been **consistently 13** observed and **predicts 14** consumers' behavior **accurately 15**. The law of demand **states 16** that as price

increases (decreases) consumers will purchase less (more) of the specific commodity, ***ceteris paribus* 17.** In other words, there is an **inverse 18** relationship between the quantity demanded and the price of a particular commodity. This law of demand is a general **rule 19**. Most people behave this way; they buy more the lower the price. However, everyone knows of a specific **individual 20** who may not behave as predicted by the law of demand, but remember the **fallacy 21** of **composition 22** because an individual or small group behaves **contrary 23** to the law of demand does not **negate 24** it.

The **demand schedule 25** (**demand curve) 26** reflects the law of demand. The demand curve is a downward **sloping 27** function (reflecting the inverse relationship of price to quantity demanded) and is a **schedule 28** of the quantity demanded at each and every price.

As price falls from P1 to P2 the quantity demanded increases from Q1 to Q2. This is a negative relation between price and quantity, hence the negative slope of the demand **schedule**, as predicted by the law of demand.

Consumers obtain **utility 29** from the consumption of commodities. Economists have long recognized that past some point, the consumption of additional units of a commodity bring consumers less and less utility. The change in utility derived from the consumption of one more unit of a commodity is called **marginal 30** utility. The idea that utility with the amount added to total utility will decline when additional units are consumed past some point this principle is called **diminishing 31** marginal utility. Because consumers make **rational 32** choices, that is they act in their own **self-interest 33**, there are two effects that follow from their **attempts 34** to maximize their well-being when the price of a commodity changes. These two effects are called the (1) income effect and (2) **the substitution 35** effect. Together these effects guarantee a downward sloping demand curve.

The income effect is the fact that as a person's income increases (or the price of item goes down [which effectively increases command over goods]) more of everything will be demanded. The income effect **suggests 36** that as income goes down (price increases) then less of the commodity will be purchased.

The substitution effect is the fact that as the price of a commodity increases, consumers will buy less of it and more of other commodities. In other words, a consumer will attempt to substitute other goods for the commodity that became more expensive. The substitution effect simply **reinforces 37** the idea of a downward sloping demand curve.

The demand schedule can be expressed as a table of price and quantity data, a series of **equations 38**, or on a downward sloping graph. To this point, our discussion has focused on individuals and their behavior. **Assuming 39** that at least a significant **majority 40** of consumers are rational, it is a simple **matter 41** to obtain a **market demand curve**. One needs only to **sum 42** all of the quantities demanded by individuals at each price to obtain the market demand curve.

Changes in the price of a commodity causes movements along the demand curve, such movements are called changes in the quantity demanded. If price decreases, then we move down and to the right along the demand curve, this is an increase in the quantity demanded. If price

increases, then we move upward and [1]to the left along the demand curve, this is a decrease in the quantity demanded. Remember, (it is importantly such changes are called changes in the quantity demanded because the demand curve is a schedule of the quantities demanded at each price.

Movements of the demand curve itself, either to the left or right are called changes in demand. A change in demand is caused by a change in one or more of the nonprice **determinants 43** of demand. A shift to the right of the demand curve is called an increase in demand, and a shift to the left of the demand curve is called a decrease in demand.

The nonprice determinants of demand are: (1) **tastes** 44 and **preferences 45** of consumers, (2) the number of consumers, (3) the money/incomes of consumers, (4) the prices of related goods, and (5) consumers' **expectations 46** concerning future availability or prices of the commodity.

If the tastes and preferences of consumers change they will shift the demand curve. If consumers find a commodity more **desirable 47**, *ceteris paribus*, then an increase in demand will be observed. If consumer tastes wane for a particular product then there will be a **shift 48** to the left of the demand (a decrease in demand).

An increase in the number of consumers or their money income will result in a shift to the right of the demand curve (an increase in demand). A decrease in the number of consumers or their income will result in a shift of the demand curve toward the **origin 49** (a decrease in demand). Consumers will also react to **expectations 50** concerning future prices and availability. If consumers expect future prices to increase, their present demand curve will shift to the right; if consumers expect prices to fall then we will observe a decrease in current demand

Supply

The law of supply is that producers will supply more the higher the price of the commodity. The supply curve is an **upward 51** sloping function showing **a direct 52** relationship between prices and the quantity supplied. In other words, the supply curve has a positive slope that shows that as price increase (decreases) so too does quantity supplied.

As with the demand curve a change in the price will result in a change in the quantity supplied. An increase in price will result in an increase in the quantity supplied, and a decrease in price will result in a decrease in the quantity supplied. Again, this is because the supply curve is a **schedule 53** of the quantities supplied at each price.

Changes in one or more of the nonprice **determinants 54** of supply **cause 55** the supply curve to shift. A shift to the left of the supply curve is called a **decrease 56** in supply; a shift to the right is called an **increase 57** in supply. The nonprice determinants of supply are: (1) **resource 58** prices, (2) **technology 59**, (3) **taxes 60** and **subsidies 61**, (4) prices of other goods, (5) **expectations 62** concerning future prices, and (6) the number of sellers.

When resource prices increase, supply decreases (shifts left), and when resource prices decrease, supply increases (shifts right). If a more **cost 63 effective 64 technology 65** is discovered then supply increases. Increases in taxes cause the supply curve to shift left (decrease). An increase in a subsidy effects the supply curve in the same way as a **cut 66** in

taxes, an increase in supply. If the price of other goods a producer can supply increases, the producer will **reallocate 67** resources away from current production (decrease in supply) and to the goods with a higher market price. For example, if the price of corn **drops 68**, a farmer will supply more beans.

If producers expect future prices to increase, current supply will decline in **favor 69** of selling **inventories 70** at higher prices later. In other words, supply will decrease (a shift to the left) and exactly the **opposite 71** will **occur 72** if producers expect future prices to be lower. If the number of suppliers increases, so too will supply, but if the number of producers declines, so too will supply.

Glossary

1	**locus**	A specific location, place, or focus of something.	15	accurately	In a way that is correct in all details; precisely.	29	**utility**	The satisfaction or benefit derived from consuming a good or service.
2	**necessarily**	As an unavoidable result; essential.	16	states	Expresses something definitely or formally.	30	**marginal**	Relating to or situated at the edge or boundary; change from one additional unit.
3	**suppliers**	Those who provide a product or service.	17	ceteris paribus	A Latin phrase meaning "all other things being equal."	31	**diminishing**	Becoming less; declining in force or value.
4	**interaction**	A mutual action or influence between two or more things.	18	inverse	Opposite in nature, effect, or relationship.	32	**rational**	Based on or in accordance with reason or logic.
5	**supply**	The total amount of a specific good or service that is available to consumers.	19	rule	A principle that usually governs conduct or procedure.	33	**self interest**	Personal benefit or advantage.
6	**mystical**	Having a spiritual or symbolic meaning; inspiring a sense of mystery.	20	individual	A single human being, distinct from a group.	34	**attempts**	Efforts to achieve or perform something.
7	**competitive**	Relating to or characterized by competition; having rivals.	21	fallacy	A mistaken belief, especially one based on unsound argument.	35	**substitution**	The action of replacing one thing with another.
8	**willing**	Ready or prepared to do something; consenting.	22	composition	The nature of a thing's ingredients or constituents.	36	**suggests**	Puts forward an idea for consideration; implies.
9	**pay**	To give money in exchange for a service or goods.	23	contrary	Opposite in nature, direction, or meaning.	37	**reinforces**	Strengthens or supports (an existing idea or feeling).
10	**provide**	To make something available or supply it.	24	negate	To make ineffective or to deny the truth of something.	38	**equations**	Mathematical statements that two expressions are equal.
11	**wares**	Manufactured articles or goods to be sold.	25	demand schedule	A table of prices and the corresponding quantities demanded at each price.	39	**assuming**	Supposing to be the case without proof.
12	**law**	A general rule or principle that describes how something works.	26	demand curve	A graph illustrating the relationship between price and quantity demanded.	40	**majority**	The greater part of a group or number.
13	**consistently**	In every case or on every occasion; invariably.	27	downward sloping	Decreasing steadily from top to bottom (describing the demand curve).	41	**matter**	A specific subject or situation.
14	**predicts**	States that a particular event will happen in the future.	28	schedule	A plan for carrying out a process or procedure; a list.	42	**sum**	To find the total of, to add up.

43	**determinants**	Factors that decisively affect the nature or outcome of something.	57	increase	To become greater in size, amount, or intensity; a rise in supply (a rightward shift of the curve).	67	**reallocate**	To distribute (something) differently or assign to a new purpose.
44	**tastes**	Personal preferences or inclinations.	58	resource	A stock or supply of money, materials, staff, and other assets that can be drawn on by an organization (e.g., land, labor, capital).	68	**drops**	To fall vertically or suddenly to a lower level.
45	**preferences**	A greater liking for one alternative over others.	59	technology	Application of scientific knowledge for practical purposes, often affecting production efficiency and costs.	69	**favor**	Preference for something; to be in support of.
46	**expectations**	A strong belief that something will happen or be the case in the future.	60	taxes	Compulsory contributions to state revenue, levied by the government, which increase production costs for firms.	70	**selling inventories**	The action of selling a complete list of items in stock (goods held for sale).
47	**desirable**	Wished for as being attractive, useful, or necessary.	61	subsidies	Money granted by the government to a firm or industry to assist it, often reducing the cost of production.	71	**opposite**	Situated or running across from something else; contrary to.
48	**shift**	A slight change in position, direction, or tendency.	62	expectations	Beliefs about what will happen or be the case in the future (e.g., future prices or demand).	72	**occur**	To happen; take place.
49	**origin**	The point or place where something begins or is derived.	63	cost	An amount that has to be paid or spent to get or obtain something.	57	**increase**	To become greater in size, amount, or intensity; a rise in supply (a rightward shift of the curve).
50	**expectations**	(Repeated) A strong belief that something will happen or be the case in the future.	64	effective	Successful in producing a desired or intended result.	58	**resource**	A stock or supply of money, materials, staff, and other assets that can be drawn on by an organization (e.g., land, labor, capital).
51	**upward**	Moving or pointing from a lower to a higher place.	66	cut	A reduction in the amount or number of something.	59	**technology**	Application of scientific knowledge for practical purposes, often affecting production efficiency and costs.
52	**direct**	Extending or moving in a straight line or course; an immediate relationship where variables move in the same direction.	60	taxes	Compulsory contributions to state revenue, levied by the government, which increase production costs for firms.	61	**subsidies**	Money granted by the government to a firm or industry to assist it, often reducing the cost of production.
53	**schedule**	A list of prices and the corresponding quantities supplied at each price.	61	subsidies	Money granted by the government to a firm or industry to assist it, often reducing the cost of production.	62	**expectations**	Beliefs about what will happen or be the case in the future (e.g., future prices or demand).

54	**nonprice determinants**	Factors other than the price of the good itself that influence supply (causes the curve to shift).	62	expectations	Beliefs about what will happen or be the case in the future (e.g., future prices or demand).	63	**cost**	An amount that has to be paid or spent to get or obtain something.
55	**cause**	To be the reason or impetus for something to happen.	63	cost	An amount that has to be paid or spent to get or obtain something.	64	**effective**	Successful in producing a desired or intended result.
56	**decrease**	To become smaller or less; a reduction in supply (a leftward shift of the curve).	64	effective	Successful in producing a desired or intended result.	66	**cut**	A reduction in the amount or number of something.
43	**determinants**	Factors that decisively affect the nature or outcome of something.	66	cut	A reduction in the amount or number of something.	60	**taxes**	Compulsory contributions to state revenue, levied by the government, which increase production costs for firms.
44	**tastes**	Personal preferences or inclinations.	60	taxes	Compulsory contributions to state revenue, levied by the government, which increase production costs for firms.	61	**subsidies**	Money granted by the government to a firm or industry to assist it, often reducing the cost of production.
64	**effective**	Successful in producing a desired or intended result.	63	cost	An amount that has to be paid or spent to get or obtain something.	62	**expectations**	Beliefs about what will happen or be the case in the future (e.g., future prices or demand).
66	**cut**	A reduction in the amount or number of something.						

Digest what you read

A. Based on the information given in the text select True, False, Not Given.

1. ____ A market is necessarily a place and locus of exchange.
2. ____ Demand and supply are the invisible hands of a market.
3. ____ There is an inverse relationship between the quantity demanded and the price of a particular commodity.
4. ____ Consumers obtain utility from the construction of commodities.
5. ____ Changes in the price of a commodity causes movements along the demand curve.

B. Select the best answer for the items below. Refer to the text to check your answers.

1- Why does transaction occur? Because...

A. There are suppliers and sellers in the market
B. There are consumers and sellers in the market
C. Consumers and suppliers buy and sell through demand and supply
D. Consumers and suppliers buy and sell at a free price

2- Which one is the definition of market by Adam Smith?

a. A mystical integration
b. An invisible hand
c. A determined price
d. A mystical interaction

3- Which one is wrong about the demand schedule?

a. It is the demand curve
b. It is a downward sloping function
c. It reflects the law of demand
d. It is the law of demand

4- Changes in the price of a commodity...

a. Causes movements along the demand curve
b. Causes movements in the down of the curve
c. Decreases the price
d. Decreases the quantity demanded

5- Which one is not a non-price determinant of demand?

a. Tastes of consumers
b. Number of consumers
c. Expectations of consumers
d. Predictions of consumers

C. Answer the following questions.

1. What determines the level of prices in a market?
2. What does a downward-sloping demand curve mean about how buyers in a market will react to a higher price?
3. What is the difference between the demand and the quantity demanded of a product?

Vocabulary Loading

A. Using the words given in the box find the right collocation from the passage. Example: Purchase at a price

1. Result	10. Choice	19. Determined
2. Future	11. Contrary	20. Self interest
3. Sloping	12. Schedule	21. Downward
4. Income	13. Fallacy	22. Command
5. Satisfy	14. Utility	23. Interaction
6. Provide	15. Utility	24. Changes
7. Predict	16. Transaction	25. Nonprice
8. Inverse	17. Consumption	26. Fall
9. Behave	18. Diminishing	27. Find

	Purchase at a price	

B. Find matching pairs. Translate them into Arabic.

Part 1	**Part 2**	**Pairs**	**Translation**
Locus of	Schedule		
Free	Utility		
Predicts	Sloping		
Fallacy	Exchange		
Demand	Interaction		
Obtain	Consumers		
Diminishing	Accurately		
Downward	Utility		
Table of	Composition		
Majority of	Quantity data		

Demand	To P2
Sloping	Choices
From P1	Curve
Series	Desirable
Quantity	Determinants
Fund	Product
Future	Of equations
Particular	Demanded
Nonprice	Function
Rational	Availability

Satisfy	Commodities
Inverse	Incomes
Behaves	Consumers
Consumption of	Demand
Additional	Relationship
Law of	Contrary to
Invisible	Units
Consumers	And suppliers
Money	Hands
More or	Less

C. Fair Work: Fill in the blanks using the proper words from the previous section.

1. The demand schedule can be expressed as a table of price and quantity data, _____ or in a downward sloping graph.
2. Assuming that at least a significant _____ are rational, it is a simple matter to obtain a market demand curve.
3. The demand curve is a downward _____ and is a schedule of the quantity demanded at each and every price.
4. If the tastes and preferences of consumers change they will shift the demand.
5. If consumers _____ find a commodity more _____ then an increase in demand will be observed.

D- Match the words on the left with their definitions on the right. Find their Arabian equivalents with your partner.

Words	**Definitions:**
1. ceteris paribus	**a.** goods that are often used together, so that consumption of one good tends to enhance consumption of the other
2. complements	**b.** things being equal
3. demand curve	**c.** a graphic representation of the relationship between price and quantity demanded of a certain good or service, with quantity on the horizontal axis and the price on the vertical axis
4. excess demand	**d.** at the existing price, the quantity demanded exceeds the quantity supplied; also called a **shortage**
5. excess supply	**e.** at the existing price, quantity supplied exceeds the quantity demanded; also called a **surplus**
6. price ceiling	**f.** a legal maximum price
7. quantity supplied	**g.** the total number of units of a good or service producers are willing to sell at a given price
8. price floor	**h.** a legal minimum price
9. substitute	**i.** a good that can replace another to some extent, so that greater consumption of one good can mean less of the other
10. shift in supply	**j.** when a change in some economic factor (other than price) causes a different quantity to be supplied at every price

Grammar injection

Fill in the blanks with the correct form of the verbs from the reading.

Purchase, Sum, Sell, Understand, Maximize, Substitute, Obtain, Increase, Fall, Pay

1. Transactions occur because consumers and suppliers are able to _____ and _____ at a price that is determined through the free interaction of demand and supply.
2. If competitive, a market will always satisfy those consumers willing and able to _____ the market price.
3. Transactions provide suppliers with the opportunity to _____ their wares at the market price.
4. To _____ the market, one need only understand the ideas of supply and demand and how they interact.
5. There are two effects that follow from their attempts to _____ their well-being when the price of a commodity changes.
6. The substitution effect is the fact that as the price of a commodity _____, consumers will buy less of it and more of other commodities. In other words, a consumer will attempt to _____ other goods for the commodity that became more expensive.
7. Assuming that at least a significant majority of consumers are rational, it is a simple matter to _____ a market demand curve.
8. If consumers expect future prices _____, their present demand curve will shift to the right.
9. One needs only to _____ all of the quantities demanded by individuals at each price to obtain the market demand curve.
10. If consumers expect prices to _____ then we will observe a decrease in current demand.

Grammar Handling

An **infinitive** is a phrase, consisting of the word **to** and the basic form of a verb, that functions as a noun, an adjective, or an adverb. There are five types of infinitives.

Type	Example
Subject	**To understand** the market, one need only understand the idea of demand and supply.
Direct Object	If consumers expect future prices **to increase** their present demand curve will shift to the right.
Subject Complement	Transactions occur because consumers and suppliers are able **to purchase** at a price.

Adjective	Assuming that at least a significant majority of consumers are rational, it is a simple matter **to obtain** a market demand curve.
Adverb (This type of use is absent in the passage)	I took the English class **to try** to learn an international language.

In the examples above, generally they express purpose and this is the main idea to keep on your mind.

Translate the text into Arabic.

Changes in one or more of the non-price determinants of supply cause the supply curve to shift. A shift to the left of the supply curve is called a decrease in supply; a shift to the right is called an increase in supply. The non-price determinants of supply are; (1) resource prices, (2) technology, (3) taxes and subsidies, (4) prices of other goods, (5) expectations concerning future prices, and (6) the number of sellers.

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Self-check

Check your progress in this unit. Tick (✓) the statements which are true about you.

- I can define demand and supply in English.
- I have learned more than 50 words from this unit.
- I can expand my vocabulary with recognizing different types of meaning.
- This unit helped me understand my technical subject better.